unite ‘divided groups’. He challenged the company’s reservoir of talents to make the team achieve its highest potential, adds Muthuraman.

The cost reduction was achieved by ‘improving yields, reducing wastage, improving product strike rates etc.’, and the price increase was effected by ‘improving product mix, improving market mix, better marketing & sales efforts, reducing inventory, improving customer service etc.’ as opposed to ‘charging higher prices’. As part of the cost-cutting measure, Irani also announced the shutting down of its ‘uneconomic and unviable’ units and focusing on the ‘higher value-added products’. Mukherjee says that the cost reduction that had looked impossible was achieved by March. And Muthuraman recalls that within a year, both the targets were achieved.

The effective implementation of these two strategies saw a significant increase in the PAT of the company. In three years of Ratan taking over, it rose from Rs 127.12 crore in 1993 to Rs 565.79 crore in 1996 to record a more than 345 per cent increase. The success heralded a new work culture in the company. It marked the beginning of the ‘birth of continuous improvement of innovation culture in Tata Steel, that paved the way for [it] to win several awards’, says Muthuraman.

Later, the services of outside experts were also requisitioned. A prominent expert whose advice had significantly benefited the company was Eliyahu M. Goldratt, an Israeli physicist and a famous ‘management guru’. Muthuraman, who had identified the physicist, says that Ratan was alone in supporting him. It was evidence of Ratan’s appetite to take ‘risk’ and ‘courage and enterprise’, something that JRD had valued in him.

One of the critical components of cost cutting and increasing efficiency was the reduction of the bloated workforce. TISCO had an estimated 78,000 employees, when only one-fourth of that number was required. The reduction was achieved through a voluntary severance scheme that Ratan and Irani implemented with the cooperation of the unions. Presentations were made to them and the staff on the negative impact the superfluous workforce was having on the company’s profitability. Ratan’s and Irani’s efforts to make the company profitable were largely responsible for the success of the scheme, says Muthuraman. ‘Taking separation was considered to be for the betterment of the company and it was a celebratory moment for them,’ says Chatterjee.

The benefits extended to the workers who had resigned were unprecedented in their munificence. Every worker who opted for the